



Loss Aversion

“I want to play it safe. I don’t want my capital wiped away. I would rather invest my money in fixed income securities.”

—A client Ramesh in 2002.

“Stock markets are not for me, especially when I know how people got wiped out in the tech boom. I’ve got a family to support. I am happy earning six per cent in a bank deposit. At least I know my money is safe.”

—Mr. Gandhi’s comment in 2001.

“I had bought Visual Soft at Rs.3000. I saw a high of Rs.9500. Now it is Rs.400. I will hold on to it. I am a long-term investor.”

—Sudhir the trader’s adamant attitude in 2001.

“I participated in the tech sector boom. I booked my profits in Infosys and Wipro early, but I still hold Pentafour, Satyam, Global and Aftek. I could not sell because after I bought they never went above my cost price.”

—Mrs. Arora brooding over her inability to book losses.

“I had 30 per cent of my portfolio in the technology stocks. When the stocks fell I gradually increased my commitment and today it is 100 per cent. I know that over a period of time I will recover my losses. The stocks are bound to rebound.”

—Mr. Kanan, a very knowledgeable investor doubling his bets.

The above statements are just a sample of how people react to the stock markets. Maybe you, too, have thought and acted on the same lines. Well, not for long. You will soon change your thinking as you read on.

Let’s take a look at the following two scenarios.

Scenario 1: You are given Rs. 1000 and two options:

- A. Guaranteed win of Rs. 500.
- B. Flip of a coin. If it’s heads you get Rs. 1000 and if it is tails you get nothing.

Which option will you choose? Now let’s go to Scenario 2.